

Micron Technology, Inc.

MU NASDAQ

Buy	\$929.42 ▲ 0.20%	12M Price Target \$1100.00	52-Week Range \$154.65 – \$1255.00	Market Cap \$1.05T
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MU: Pullback Before Earnings, AI Memory Story Intact

WHAT HAPPENED

- MU is basically flat today (+0.20%) but that masks a real story — the stock dropped ~5% from Friday's \$977 to Monday's \$924 and is now just stabilizing. That's a classic "de-risking into earnings" move (their fiscal Q4 print is coming up), and the Barron's headline about a "new threat to U.S. memory-chip supremacy" is spooking people — likely referring to Samsung finally getting HBM3E qualified at Nvidia, which would eat into Micron's near-monopoly.
- The options tape tells a different story though — huge unusual call buying at \$930 and \$935 strikes expiring this month (over \$30M in notional). Someone with size is betting earnings surprise to the upside.

WHY IT MATTERS

Here's the setup: Micron has been THE way to play AI without paying Nvidia's multiple, because every AI chip needs HBM (high-bandwidth memory — the specialized fast memory that feeds GPUs data). The stock going from \$155 to \$1,255 in a year tells you the market already figured that out. The pullback this week is the market saying "okay, but what if Samsung catches up and pricing normalizes?" — and that's the real debate. The bullish read: even with more supply, AI memory demand is outrunning capacity through 2027, and Micron's Idaho and NY fabs (funded partly by CHIPS Act money) give them a structural U.S.-supply-chain advantage that the Trump administration wants to protect at all costs.

POLICY & POLITICAL WATCH

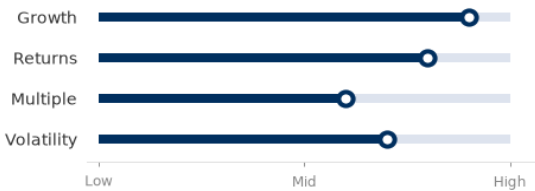
Micron is arguably the single biggest domestic beneficiary of the CHIPS and Science Act — they've been awarded roughly \$6.1B in direct grants to build fabs in Idaho and New York. The Trump administration has been publicly renegotiating some CHIPS Act terms (asking for equity stakes, faster build timelines), and any move to claw back or restructure Micron's grants would be a real headwind — watch for headlines here. On the flip side, escalating export controls on advanced memory to China (which Congress is actively debating expanding) cuts both ways: it protects Micron's tech lead but also caps ~10-15% of their addressable market since China is a big DRAM buyer.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$929.42
12M Price Target	\$1100.00
Upside / (Downside)	+18.4%
Market Cap	\$1.05T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	64.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$950.00	\$820.00
6 Months	\$1200.00	\$1050.00	\$750.00
1 Year	\$1400.00	\$1100.00	\$700.00
2 Years	\$1800.00	\$1300.00	\$600.00
5 Years	\$2500.00	\$1600.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure broadly — Tech +0.81% today, and anything tied to data center buildout (memory, networking, power) is where the money keeps going because hyperscaler capex guides keep going UP not down.

COOLING OFF: Tech is down 1.4% over 5 days — some profit-taking after a strong run, and there's a low-grade "is AI a bubble" narrative building (see the Gerstner headline calling it a "political agenda").

ROTATION WATCH: Slight defensive tilt today with Utilities and Real Estate up — that's not conviction rotation, that's people trimming winners and parking cash before Fed and earnings season.

RELATED PLAY: If you like the Micron thesis but want less single-stock risk, SK Hynix (HXSCL) is the pure-play HBM competitor, and Applied Materials (AMAT) or Lam Research (LRCX) sell the equipment Micron needs to build every new fab.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingmaker — every quarter their guide goes up, Micron's HBM demand goes up in lockstep.
- AVGO (Broadcom): Custom AI silicon wins with hyperscalers keep printing, and each of those chips needs Micron memory.

MU CONTEXT: Micron has outperformed most of the semi group year-to-date, but is lagging the mega-cap AI names over the last month as investors get nervous about the memory cycle specifically. That relative weakness is actually where the opportunity is — if they deliver next week, the catch-up trade is real.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$880-920 on pullbacks; add aggressively under \$850

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over, or Samsung/SK Hynix take material share in HBM4 qualifications at Nvidia

Hedging: Pair with a short in a smaller, unprofitable AI hardware name, or buy protective puts into earnings week